THE GAZETTE OF INDIA : EXTRAORDINARY

THE INDIAN CONTRACT ACT, 1872

ACT NO. 9 OF 1872 [25th April, 1872]

Section 1. Short title.—

This Act may be called the Indian Contract Act, 1872. Extent, Commencement.—It extends to the whole of India; and it shall come into force on the first day of September, 1872.

Section 2. Interpretation-clause.—

In this Act the following words and expressions are used in the following senses, unless a contrary intention appears from the context:— (a) When one person signifies to another his willingness to do or to abstain from doing anything, with a view to obtaining the assent of that other to such act or abstinence, he is said to make a proposal; (b) When the person to whom the proposal is made signifies his assent thereto, the proposal is said to be accepted. A proposal, when accepted, becomes a promise; (h) An agreement enforceable by law is a contract; (i) An agreement which is not enforceable by law is said to be void.

Section 10. What agreements are contracts.—

All agreements are contracts if they are made by the free consent of parties competent to contract, for a lawful consideration and with a lawful object, and are not hereby expressly declared to be void.

Section 11. Who are competent to contract.—

Every person is competent to contract who is of the age of majority according to the law to which he is subject, and who is of sound mind and is not disqualified from contracting by any law to which he is subject.

Section 23. What considerations and objects are lawful, and what not.—

The consideration or object of an agreement is lawful, unless— it is forbidden by law; or is of such a nature that, if permitted, it would defeat the provisions of any law; or is fraudulent; or involves or implies, injury to the person or property of another; or the Court regards it as immoral, or opposed to public policy. In each of these cases, the consideration or object of an agreement is said to be unlawful. Every agreement of which the object or consideration is unlawful is void.

Section 27. Agreement in restraint of trade, void.—

Every agreement by which any one is restrained from exercising a lawful profession, trade or business of any kind, is to that extent void. Exception 1.—Saving of agreement not to carry on business of which good-will is sold.—One who sells the good-will of a business may agree with the buyer to refrain from carrying on a similar business, within specified local limits, so long as the buyer carries on a like business therein.

Section 28. Agreements in restraint of legal proceedings, void.—

Every agreement by which any party thereto is restricted absolutely from

enforcing his rights under or in respect of any contract, by the usual legal proceedings in the ordinary tribunals, is void to that extent.
Exception 1.—Saving of contract to refer to arbitration dispute that may arise.

Section 56. Agreement to do impossible act.—

An agreement to do an act impossible in itself is void. Contract to do act afterwards becoming impossible or unlawful.—A contract to do an act which, after the contract is made, becomes impossible, or, by reason of some event which the promisor could not prevent, unlawful, becomes void when the act becomes impossible or unlawful.

Section 73. Compensation for loss or damage caused by breach of contract.—

When a contract has been broken, the party who suffers by such breach is entitled to receive, from the party who has broken the contract, compensation for any loss or damage caused to him thereby, which naturally arose in the usual course of things from such breach.

Section 74. Compensation for breach of contract where penalty stipulated for.—

When a contract has been broken, if a sum is named in the contract as the amount to be paid in case of such breach, or if the contract contains any other stipulation by way of penalty, the party complaining of the breach is entitled to receive reasonable compensation not exceeding the amount so named.